

JOHN MOODY

1868–1958

John Moody would be proud to know that his firm's ratings are still highly valued and can make or break both company and government. Born in Jersey City, New Jersey, he started his career as a 'stamp lick and errand boy' for a banking house at 21. There he stayed for 10 years, working his way up through the bookkeeping department and then the selling side, where he was eventually put in charge. During that time, Moody also organized a statistical department. Finally, in 1898, he struck out on his own. His goal was to compile statistics about existing securities and the rapidly growing number of stocks and bonds being issued as the number of public companies mushroomed. There was only one problem: He had no capital for startup. So Moody worked on his statistics at night and pounded the pavement during the day, looking for customers to subscribe.

Fortunately, enough subscriptions were pledged to keep him going, and his manuals were a popular hit when they were introduced in 1900. Unfortunately, the 1907 panic forced him to surrender his business to creditors. However, the 1907 panic also inspired him to start analyzing and rating securities, in addition to providing the raw statistics. From such dire moments arose Moody's philosophical outlook on the market: "The saying that you never can tell is one that applies strictly to Wall Street. The professional traders make their money, not by escaping losses, but by making their profits outbalance their losses. A quick readiness to take a loss is one of their indispensable characteristics."

Moody was concerned with more than just numbers and felt strongly that speculation should be left to the professional speculators. "In one sense of the word," he said, "speculation is practically identical with gambling. In another sense not. . . . They [speculators] are men with broad vision, keen powers of calculation, patient natures, cool judgment, and remarkable power of quick and decisive action." Moody likened the amateur stock player to the ignorant gambler who steps up to the roulette table. As for defining what is investment versus what is speculation, Moody takes on this deceptively difficult task in *Investment versus Speculation*.